# Candlestick Anatomy

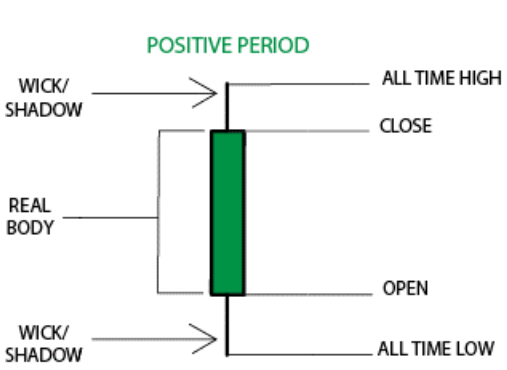
Japanese candlesticks are a popular tool used by traders to analyze price action and make trading decisions. In this chapter, we'll dive deeper into the anatomy of Japanese candlesticks, their tendencies, and the level of confluence they provide when trading.

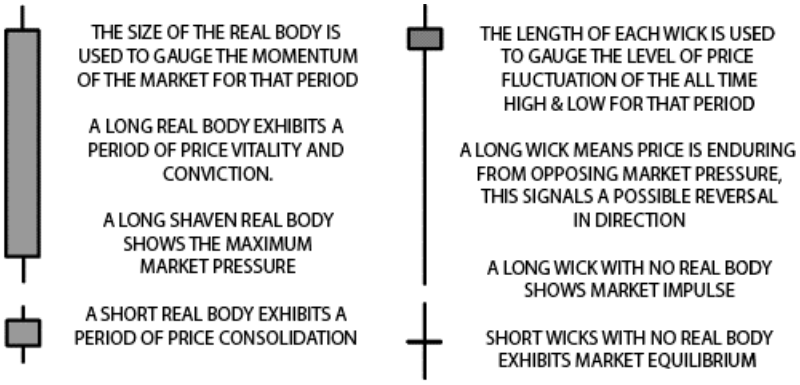
Japanese candlesticks are made up of a body and two wicks, one on each end. The body represents the price range between the opening and closing prices for a given time period. The wicks represent the high and low prices reached during that same time period.

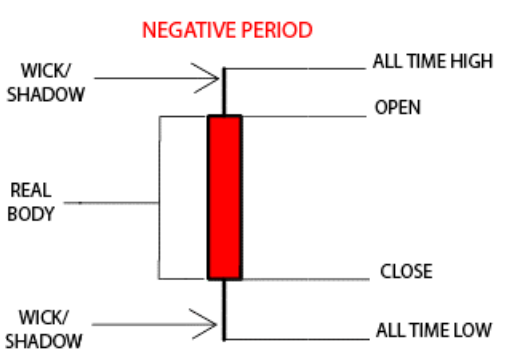
Bullish candles are typically green or white and indicate that the closing price is higher than the opening price, while bearish candles are typically red or black and indicate that the closing price is lower than the opening price.

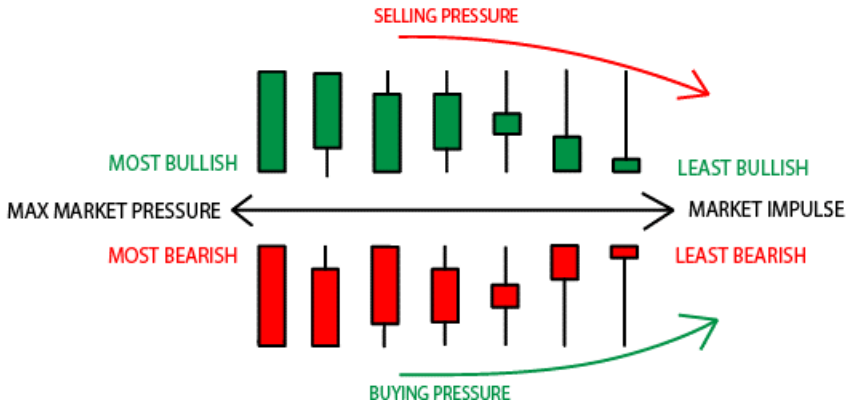
Japanese candlesticks will increase the efficiency of your technical analysis. Once you determine the direction of the market, candle sticks will give you valuable market insights allowing you to enter and exit the market with better timing. When analyzing candlesticks we must always recognize:

- The Size of the Real Body
- The length of the Wick/Shadow
- Level of Confluence



Candlesticks can provide valuable information about price trends and market sentiment. Here are a few tendencies to keep in mind when analyzing Japanese candlesticks:

1. **Doji candles:** A doji candle has a small body with wicks of equal length on both ends. This indicates that there is indecision in the market and that buyers and sellers are evenly matched.
2. **Hammer and hanging man candles:** A hammer candle has a small body with a long wick on the bottom, while a hanging man candle has a small body with a long wick on the top. Both of these candles indicate a potential reversal in the market.
3. **Engulfing candles:** An engulfing candle occurs when a smaller candle is completely engulfed by a larger candle. This indicates a potential reversal in the market, as the larger candle's momentum is overpowering the smaller one.

# Confluence

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Confluence is a concept that allows you to combine several technical and fundamental indications to determine whether any particular trade has a high or low probability of success. This helps mitigate the over- reliance on one strategy or technical indicator. This is a valuable practice because it can be applied on all time frames – from scalping up to position trades, and applied to almost all types of strategies and analysis.